

Litigation Response Manual

Secure Castle, Co.



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Section 1: Overview

Purpose

This manual provides the procedures, responsibilities, and guidance required for the Secure Castle, Co. Litigation Response Team (LRT) to respond effectively when litigation is known, threatened, or reasonably anticipated. This procedure manual is maintained by the Governance Department and reviewed by outside legal counsel, Merlin & Associates (hereinafter "outside legal counsel" or "outside counsel"). Questions regarding this procedure manual should be directed to the Governance Director.

Scope

This manual applies to all employees, contractors, and third parties who possess, access, or control electronically stored information (ESI) or physical records relevant to a litigation matter. It governs all Secure Castle systems, devices, and data assets as cataloged in the GRC Data Model.

When to Use This Manual

This manual must be consulted and followed whenever any of the following conditions exist:

- Secure Castle, Co. receives a legal complaint, subpoena, or demand letter
- Outside legal counsel advises that litigation is reasonably anticipated
- A regulatory investigation is initiated that may involve legal proceedings
- A government agency requests records or information from Secure Castle
- Senior leadership identifies a potential dispute with significant legal exposure

Workforce Responsibilities

Every employee who works with or has control over any ESI or physical records relevant to a litigation matter has a legal duty to comply with the LRT and preserve all relevant information. Failure to comply may constitute spoliation and result in serious legal consequences for both the individual and Secure Castle, Co.

Section 2: Litigation Hold

What Is a Litigation Hold

A litigation hold is a directive that suspends all normal document retention, destruction, overwriting, and archiving activities for any information relevant to a litigation matter. A litigation hold takes precedence over all retention schedules defined in the Secure Castle Data Retention Policy and remains in effect until formally lifted in writing by the Governance Manager.

Trigger Events

A litigation hold is triggered when outside legal counsel determines that litigation is known or reasonably anticipated. Common trigger events include:

- Receipt of a formal legal complaint or lawsuit
- Receipt of a subpoena or regulatory inquiry
- A demand letter from a claimant or their counsel
- Internal identification of a dispute with significant legal exposure
- Notification from outside counsel that a hold is warranted

Legal Hold and the Data Model

Secure Castle tracks legal holds at the data asset level in the `data_assets` table. When a hold is initiated, the following fields must be updated by the Governance Manager:

Field	Action Required
<code>active_legal_hold</code>	Set to True for all affected data assets
<code>legal_hold_start_date</code>	Set to the date the hold is initiated
<code>legal_hold_reason</code>	Document the matter name, claimant, and brief description of the legal basis

The Governance Manager is responsible for ensuring these fields are updated in the GRC Data Model as soon as the hold is initiated.

Section 3: Litigation Response Team

Overview

The Litigation Response Team (LRT) is the designated group of individuals responsible for managing Secure Castle's response to known or anticipated litigation. The LRT is convened by the Governance Manager upon direction from outside legal counsel and remains active until the hold is formally released.

Team Composition

Role	Title	Responsibility Area
Governance Director	Director — Governance	Accountability and policy authority
Governance Manager	Manager — Governance	Day-to-day hold administration
IT Director	Director — IT	Technical preservation of ESI
Security Director	Director — Security	Security systems and access logs

General Responsibilities

Upon convening, the LRT shall:

- Execute all applicable sections of this manual relevant to their role
- Ensure resources are assigned to support business continuity while preserving information
- Determine which departments and employees must be notified and issue notifications promptly
- Ensure all ESI relevant to the matter is identified, preserved, and protected from alteration or destruction
- Maintain communication with outside legal counsel throughout the duration of the hold
- Document all actions taken in connection with the hold

Section 4: Role-Specific Responsibilities

Governance Director

The Governance Director holds ultimate accountability for the litigation hold process. Specific responsibilities include:

- Approving the initiation and release of litigation holds
- Ensuring Secure Castle's response aligns with the direction of outside legal counsel
- Escalating material non-compliance issues to the CEO and outside counsel
- Approving any exceptions to this manual's procedures
- Signing off on hold release in coordination with outside legal counsel

Governance Manager

The Governance Manager is responsible for the day-to-day administration of the litigation hold. Specific responsibilities include:

- Issuing the Litigation Hold Notice to all affected employees upon direction from outside counsel
- Clearly communicating the scope of the hold, including the relevant matter, data types, systems, and date range
- Tracking employee acknowledgment of the hold notice and following up with non-respondents within 5 business days
- Updating the data_assets table in the GRC Data Model with hold status, start date, and reason
- Coordinating with the IT Director and Security Director on technical preservation steps
- Maintaining a hold log documenting all actions, communications, and decisions throughout the hold
- Notifying outside legal counsel of any compliance issues or employee non-response
- Administering the hold release process upon written authorization from the Governance Director

IT Director

The IT Director is responsible for the technical identification and preservation of ESI across Secure Castle's systems and devices. Specific responsibilities include:

- Identifying all systems, devices, and data assets that may contain information relevant to the litigation
- Suspending automated deletion, overwriting, archiving, and backup rotation for affected data assets
- Preserving all relevant ESI in its original electronic format, including metadata
- Isolating relevant data from normal operational processes without disrupting business continuity
- Coordinating with the Security Director to preserve security logs, access records, and device event data
- Ensuring device-level preservation applies to laptops, desktops, mobile phones, and backup systems
- Providing a written summary of all technical preservation actions to the Governance Manager within 48 hours
- Explaining to outside counsel how data is accessed, stored, retrieved, and destroyed within Secure Castle's systems
- Collaborating with the Governance Manager to ensure compliance throughout the duration of the hold

Security Director

The Security Director is responsible for preserving security-domain data relevant to the litigation. Specific responsibilities include:

- Preserving all security logs, access control records, and authentication events that may be relevant
- Ensuring EDR telemetry, vulnerability scan results, and incident response records are protected from alteration
- Suspending any scheduled deletion or rotation of security logs in affected systems
- Coordinating with the IT Director on device-level and system-level preservation
- Reporting any anomalous access to preserved data to the Governance Manager immediately

Outside Legal Counsel - Merlin & Associates

Merlin & Associates provides legal direction throughout the litigation hold process. Specific responsibilities include:

- Advising the Governance Director and Governance Manager on when a hold should be initiated and released
- Defining the scope of the hold including relevant data types, systems, time periods, and custodians
- Reviewing and approving the Litigation Hold Notice document before issuance
- Maintaining attorney-client privilege over the hold process and related communications
- Advising on regulatory compliance and applicable federal or state discovery obligations
- Providing guidance on ESI production if litigation proceeds to formal discovery

Section 5: Step-by-Step Response Procedure

Upon known or anticipated litigation, the following steps must be followed in order:

1. Outside counsel (Merlin & Associates) advises the Governance Director that a litigation hold is warranted and defines the scope of the matter.
2. The Governance Director approves the initiation of the hold and notifies the Governance Manager to convene the LRT.
3. The Governance Manager convenes the LRT, communicates the scope of the matter to all team members, and assigns initial responsibilities.
4. The Governance Manager issues the Litigation Hold Notice to all affected employees, identifying the matter, the scope of relevant information, and the employee's preservation obligations. Employees must acknowledge receipt within 5 business days.
5. The IT Director suspends all automated deletion, overwriting, and archiving for affected data assets and devices. A written summary of technical preservation actions is provided to the Governance Manager within 48 hours.
6. The Security Director suspends scheduled deletion of relevant security logs, access records, and device event data, and coordinates with the IT Director on system-level preservation.
7. The Governance Manager updates the data_assets table in the GRC Data Model: sets active_legal_hold to True, records the legal_hold_start_date, and documents the legal_hold_reason for all affected data assets.
8. The Governance Manager tracks employee acknowledgments and follows up with any non-respondents. Persistent non-compliance is escalated to the Governance Director and outside counsel.
9. The LRT maintains the hold and communicates regularly with outside counsel throughout the duration of the litigation. Any changes in scope are documented and communicated to all affected parties.
10. The Governance Manager maintains a hold log documenting all actions, communications, decisions, and acknowledgments for the duration of the hold.

Section 6: Hold Release Procedure

A litigation hold must not be released until outside legal counsel formally advises that the matter has been resolved and preservation is no longer required. The following steps govern the release process:

1. Outside counsel (Merlin & Associates) advises the Governance Director in writing that the hold may be released.
2. The Governance Director approves the release and authorizes the Governance Manager to begin the release process.
3. The Governance Manager notifies all affected employees in writing that the hold has been lifted and that normal retention policies are reinstated.
4. The IT Director reinstates normal automated retention, archiving, and deletion schedules for previously affected data assets and systems.
5. The Governance Manager updates the data_assets table in the GRC Data Model: sets active_legal_hold back to False for all affected records.
6. The Governance Manager closes the hold log with a final summary entry documenting the release date and basis for release.

Note: Even after a hold is released, Secure Castle must continue to retain any data that is subject to its standard retention schedules under the Data Retention Policy.

Section 7: Escalation and Non-Compliance

Escalation Path

If any of the following situations arise, the Governance Manager must escalate immediately to the Governance Director and outside legal counsel:

- An employee fails to acknowledge the hold notice within 5 business days
- An employee reports that relevant information may have already been deleted or altered
- A technical failure prevents preservation of relevant data
- A third party with relevant information does not respond to notification
- Any situation that may constitute spoliation

Consequences of Non-Compliance

Failure to comply with a litigation hold is a serious matter with potential legal and organizational consequences, including:

- Sanctions imposed by a court for spoliation of evidence
- Adverse inference instructions allowing a court or jury to assume destroyed evidence was unfavorable
- Disciplinary action up to and including termination of employment
- Personal liability for the individual responsible for the destruction or alteration of relevant information

Third-Party Notification

If any LRT member has reason to believe that a third party (vendor, contractor, or partner) may possess relevant information, the Governance Manager must consult with outside counsel to determine the appropriate notification steps. Employees must not forward the Litigation Hold Notice to third parties without prior authorization from outside counsel.

Section 8: Version History

Version	Date	Author	Reviewed By	Approved By	Summary of Changes
1.0	05/29/2026	Belle Beauty, Governance Manager	Merlin & Associates	Mary Poppins, Governance Director	Initial release. Established LRT composition, role-specific responsibilities, step-by-step hold and release procedures, and escalation path.